LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

THREE MONTH PERIOD ENDED 30 JUNE 2017

Lanka Orix Leasing Company PLC
Interim Financial Statements
Three month period ended 30 June 2017

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-17	**31-Mar-17**	*As at*	**30-Jun-17**	**30-Jun-16**	**30-Jun-17**	**30-Jun-16**
Rs. '000	**Rs. '000**		**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Audited	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
54,215,239	460,015	Cash and cash equivalents	58,604,185	13,415,030	776,418	194,852
3,649,561	453,204	Trading assets - fair value through profit or loss	1,302,779	4,388,092	503,553	456,415
55,379,321	348,508	Investment securities	78,010,253	59,699,082	412,180	620,846
51,886,989	4,422	Finance lease receivables, hire purchases and operating leases	52,369,220	51,872,314	3,006	8,832
366,809,378	785,112	Advances and other loans	384,624,261	172,494,175	698,705	1,893,514
1,080,758	-	Insurance premium receivables	1,116,395	805,841	479,925	-
4,070,523	364,029	Inventories	4,195,547	3,704,577	144,853	487,708
1,404,425	131,566	Current tax assets	352,556	305,620	-	178,432
14,979,118	26,262,577	Trade and other current assets	21,558,335	11,189,620	19,050,492	22,162,902
741,279	-	Prepaid lease rentals on leasehold properties	742,047	729,687	-	-
9,750,928	376,600	Investment properties	9,757,991	9,148,584	376,600	353,000
		Biological Assets;				
2,984,091	-	Consumable Biological Assets	2,980,440	6,161,495	-	-
1,151,494	-	Bearer Biological Assets	1,161,664	4,823,961	-	-
		Investments in group of companies;				
-	61,670,676	Subsidiary companies	-	-	62,992,680	42,615,931
15,764,522	4,314,001	Associates	16,341,815	17,349,471	4,314,001	7,816,377
1,492,249	-	Deferred tax assets	1,047,874	379,944	-	67,010
13,299,451	203,084	Intangible assets	13,508,188	2,533,888	309,280	224,677
42,265,514	6,633,567	Property, plant and equipment	42,606,858	35,588,891	6,681,717	4,430,060
640,924,840	**102,007,361**	**Total assets**	**690,280,408**	**394,590,272**	**96,743,410**	**81,510,556**
		Liabilities and equity				
		Liabilities				
7,365,332	1,691,299	Bank overdrafts	9,593,718	7,792,857	3,204,911	2,245,482
65,287	1,252	Derivative liabilities	219,589	75,192	186	530
211,128,007	-	Deposits liabilities	235,981,397	78,382,596	-	-
286,749,284	51,006,998	Interest bearing borrowings	299,747,613	211,744,396	43,580,158	41,986,129
2,048,422	-	Insurance provision - life	2,214,975	1,643,675	-	-
2,729,985	-	Insurance provision - general	2,951,607	2,785,261	-	-
3,636,203	623,434	Current tax payables	3,856,079	2,383,758	154,895	147,271
17,682,263	1,238,204	Trade and other payables	22,305,639	14,605,241	2,099,800	1,058,329
4,492,485	219,926	Deferred tax liabilities	3,858,935	3,762,804	219,926	88,554
235,833	-	Deferred income	224,272	659,005	-	-
2,175,902	234,548	Retirement benefit obligations	2,191,323	2,052,226	245,783	191,075
538,309,003	**55,015,661**	**Total liabilities**	**583,145,147**	**325,887,011**	**49,505,659**	**45,717,370**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
8,932,444	3,377,627	Reserves	9,033,155	5,545,384	3,440,726	1,669,773
49,442,054	43,138,873	Retained earnings	53,059,903	33,983,478	43,321,825	33,648,213
58,849,698	**46,991,700**	**Equity attributable to shareholders of the Company**	**62,568,258**	**40,004,062**	**47,237,751**	**35,793,186**
43,766,139	-	Non-controlling interests	44,567,003	28,699,199	-	-
102,615,837	**46,991,700**	**Total equity**	**107,135,261**	**68,703,261**	**47,237,751**	**35,793,186**
640,924,840	**102,007,361**	**Total liabilities & equity**	**690,280,408**	**394,590,272**	**96,743,410**	**81,510,556**
123.84	**98.89**	**Net assets per share (Rs.)**	**131.67**	**84.18**	**99.41**	**75.32**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Deshamanya M.D.D. Pieris
Director
15th August 2017 Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Income Statement

For the three month period ended 30 June	Group 2017 Rs. '000 Un-audited	Group 2016 Rs. '000 Un-audited -	Group Variance %	Company 2017 Rs. '000 Un-audited	Company 2016 Rs. '000 Un-audited Reclassified	Company Variance %
Gross income	**33,770,853**	**19,442,672**	**73.69**	**2,907,644**	**1,658,272**	**75.34**
Interest income	23,388,081	11,809,879	98.04	910,939	668,706	36.22
Interest expense	(13,662,011)	(6,682,711)	104.44	(1,506,760)	(1,044,260)	44.29
Net interest income	**9,726,070**	**5,127,168**	**89.70**	**(595,821)**	**(375,554)**	**-**
Revenue	4,842,678	5,058,548	(4.27)	-	-	-
Less: cost of sales	(2,954,345)	(3,148,814)	(6.18)	-	-	-
Gross profit	**1,888,333**	**1,909,734**	**(1.12)**	**-**	**-**	**-**
Income	2,859,707	2,219,317	28.86	1,008,775	9,244	10,812.75
Other income/(expenses)	2,680,387	354,928	655.19	987,930	980,322	0.78
Profit before operating expenses	**17,154,497**	**9,611,147**	**78.49**	**1,400,884**	**614,012**	**128.15**
Operating expenses						
VAT on financial services	(559,964)	(422,692)	32.48	(16,897)	(10,570)	59.86
Other direct expenses excluding finance costs	(1,299,623)	(1,130,934)	14.92	(7,641)	(9,450)	(19.14)
Personnel costs	(4,388,865)	(2,939,187)	49.32	(380,503)	(122,156)	211.49
Net impairment (loss) / reversal on financial assets	(1,422,412)	(674,860)	110.77	1,556	1,217	27.86
Depreciation and amortization	(528,457)	(405,674)	30.27	(103,616)	(85,579)	21.08
Other operating expenses	(3,043,710)	(1,915,489)	58.90	(639,699)	(27,844)	2,197.44
Results from operating activities	**5,911,466**	**2,122,311**	**178.54**	**254,084**	**359,630**	**(29.35)**
Share of profits of equity accounted investees	577,292	1,046,664	(44.84)	-	-	-
Profit before income tax expense	**6,488,758**	**3,168,975**	**104.76**	**254,084**	**359,630**	**(29.35)**
Income tax expense	(1,410,104)	(763,910)	84.59	(71,135)	(84,332)	-
Profit for the period	**5,078,654**	**2,405,065**	**111.16**	**182,949**	**275,298**	**(33.55)**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

For the three month period ended 30 June	Group 2017 Rs. '000 Un-audited	Group 2016 Rs. '000 Un-audited -	Group Variance %	Company 2017 Rs. '000 Un-audited	Company 2016 Rs. '000 Un-audited	Company Variance %
Profit for the period	**5,078,654**	**2,405,065**	**111.16**	**182,949**	**275,298**	**(33.55)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	310,219	40,527	665.46	63,100	16,455	283.47
Net movement of cash flow hedges	(163,280)	(60,396)	170.35	-	-	-
Foreign currency translation differences for foreign operations	4,617	(23,560)	(119.60)	-	-	-
Other comprehensive income/ (expense) for the year, net of tax	**151,556**	**(43,429)**	**(448.97)**	**63,100**	**16,455**	**283.47**
Total comprehensive income for the year	**5,230,210**	**2,361,636**	**121.47**	**246,049**	**291,753**	**(15.67)**
Profit attributable to;						
Equity holders of the Company	2,855,643	2,337,383	22.17	182,949	275,298	(33.55)
Non-controlling interests	2,223,011	67,682	3,184.49	-	-	-
Profit for the period	**5,078,654**	**2,405,065**	**111.16**	**182,949**	**275,298**	**(33.55)**
Total comprehensive income attributable to;						
Equity holders of the Company	2,946,847	2,306,020	27.79	246,049	291,753	(15.67)
Non-controlling interests	2,283,363	55,616	4,005.59	-	-	-
Total comprehensive income for the year	**5,230,210**	**2,361,636**	**121.47**	**246,049**	**291,753**	**(15.67)**
Basic earnings per share	**6.01**	**4.92**	**22.17**	**0.38**	**0.58**	**(33.55)**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June 2017

	Equity attributable to the shareholders of the Company						
Company	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Retained Earnings**	**Total**
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Balance as at 01 April 2016	**475,200**	**1,283,286**	**-**	**165,032**	**205,000**	**33,372,915**	**35,501,433**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	275,298	**275,298**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	16,455	-	-	**16,455**
Net movement of cash flow hedges	-	-		-	-	-	**-**
Total comprehensive income for the period	-	-	-	16,455	-	275,298	**291,753**
Balance as at 30 June 2016	**475,200**	**1,283,286**	**-**	**181,487**	**205,000**	**33,648,213**	**35,793,186**
Balance as at 01 April 2017	**475,200**	**3,139,620**	**-**	**33,006**	**205,000**	**43,138,876**	**46,991,702**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	182,949	**182,949**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	63,100	-	-	**63,100**
Total comprehensive income for the period	**-**	**-**	**-**	**63,100**	**-**	**182,949**	**246,049**
Balance as at 30 June 2017	**475,200**	**3,139,620**	**-**	**96,106**	**205,000**	**43,321,825**	**47,237,751**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June 2017

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01 April 2016	**475,200**	**3,434,184**	**218,242**	**(1,105,365)**	**929,775**	**205,000**	**1,754,359**	**-**	**31,786,984**	**37,698,379**	**28,677,846**	**66,376,225**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	2,337,383	**2,337,383**	67,682	**2,405,065**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	35,251	-	-	-	-	-	**35,251**	5,276	**40,527**
Net movement of cash flow hedges	-	-	(55,998)	-	-	-	-	-	-	**(55,998)**	(4,398)	**(60,396)**
Foreign currency translation differences for foreign operations	-	-	-	-	(10,616)	-	-	-	-	**(10,616)**	(12,944)	**(23,560)**
Total comprehensive income for the period	**-**	**-**	**(55,998)**	**35,251**	**(10,616)**	**-**	**-**	**-**	**2,337,383**	**2,306,020**	**55,616**	**2,361,636**
Reserve transfers	-	-	-	-	-	-	140,552	-	(140,552)	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	(109,551)	**(109,551)**
Changes in group holdings that do not result in change in controlling stake	-	-	-	-	-	-	-	-	(337)	**(337)**	75,288	**74,951**
Balance as at 30 June 2016	**475,200**	**3,434,184**	**162,244**	**(1,070,114)**	**919,159**	**205,000**	**1,894,911**	**-**	**33,983,478**	**40,004,062**	**28,699,199**	**68,703,261**
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,358**	**(895,216)**	**744,533**	**205,000**	**2,158,162**	**-**	**49,442,053**	**58,849,699**	**43,766,141**	**102,615,840**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	2,855,643	**2,855,643**	2,223,011	**5,078,654**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	298,331	-	-	-	-	-	**298,331**	11,888	**310,219**
Net movement of cash flow hedges	-	-	(145,183)	-	-	-	-	-	-	**(145,183)**	(18,097)	**(163,280)**
Foreign currency translation differences for foreign operations	-	-	-	-	(61,944)	-	-	-	-	**(61,944)**	66,561	**4,617**
Total comprehensive income for the period	**-**	**-**	**(145,183)**	**298,331**	**(61,944)**	**-**	**-**	**-**	**2,855,643**	**2,946,847**	**2,283,363**	**5,230,210**
Reserve transfers	-	-	-	-	-	-	9,619	-	(9,619)	**-**	-	**-**
Depreciation transfer on revaluation	-	(114)	-	-	-	-	-	-	114	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	(82,693)	**(82,693)**
Non-controlling interests recognized on acquisition of subsidiaries	-	-	-	-	-	-	-	-	-	**-**	1,659,336	**1,659,336**
NCI contribution for subsidiary share issues	-	-	-	-	-	-	-	-	-	**-**	148	**148**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	-	771,712	**771,712**	(3,059,292)	**(2,287,580)**
										-		
Balance as at 30 June 2017	**475,200**	**6,601,495**	**(26,825)**	**(596,885)**	**682,589**	**205,000**	**2,167,781**	**-**	**53,059,903**	**62,568,258**	**44,567,003**	**107,135,261**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the three month period ended 30 June	Group 2017 (Rs.)	Group 2016 (Rs.)	Company 2017 (Rs.)	Company 2016 (Rs.)
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	6,488,758	3,168,975	254,084	359,630
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(44,902)	(16,161)	(44,569)	(16,161)
Depreciation and amortization	528,457	405,674	103,616	85,579
Insurance provision	388,175	772,844	-	-
Change in fair value of forward contracts	369,005	(7,608)	-	-
Provision for gratuity	77,482	49,445	11,400	8,400
Net impairment (loss) / reversal on financial assets	1,422,412	674,860	(1,556)	(1,217)
Provision for fall/(increase) in value of investments	(109,467)	(117,022)	(53,807)	(37,990)
Investment Income	(1,681,920)	(925,490)	(12,751)	(130,082)
Net finance costs	13,662,011	7,216,138	1,506,760	1,044,260
(Profit)/loss on sale of quoted and non-quoted shares	(916,324)	-	889	-
Share of profits of equity accounted investees	(577,292)	(1,046,664)	-	-
Transaction cost on acquisition of subsidiaries	3,625	-	-	-
Operating profit before working capital changes	**19,610,020**	**10,174,991**	**1,764,066**	**1,312,419**
Working capital changes				
Increase/(decrease) in trade and other payables	4,541,043	3,013,557	377,593	(295,129)
(Increase)/decrease in investment in leases, hire purchase and others	(698,851)	(465,835)	7,416	88
(Increase)/decrease in investment in advances and other loans	(18,341,226)	(11,792,749)	83,517	(118,186)
(Increase)/decrease in premium receivables	(35,637)	(4,676)	7,198,553	-
(Increase)/decrease in inventories	(125,020)	(59,296)	(115,896)	-
(Increase)/decrease in trade and other receivables	(6,541,953)	(374,723)	-	(5,662,181)
(Increase)/decrease in customer deposits	24,636,868	4,216,864	-	-
Cash generated from operations	**23,045,244**	**4,708,133**	**9,315,249**	**(4,762,989)**
Finance cost paid	(12,359,755)	(7,090,999)	(1,563,344)	(955,283)
Income tax and Economic Service Charge paid	(253,206)	(119,694)	(57,483)	-
Defined benefit plan costs paid	(65,444)	(60,501)	(164)	(2,188)
Net cash from/(used in) operating activities	**10,366,839**	**(2,563,061)**	**7,694,258**	**(5,720,460)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(1,322,001)	-
Net cash and cash equivalents on acquisition of a subsidiary	688,049	-	-	-
Acquisition of non-controlling interests	(2,286,764)	-	-	-
Acquisition of property, plant and equipment	(844,122)	(2,462,433)	(164,254)	(171,639)
Acquisition / (Disposal) of intangible assets	(132,064)	(67,764)	(132,900)	(35,402)
Net additions to trading assets	2,456,249	(1,873,523)	-	1,702
Net additions to investment securities	(21,070,876)	1,292,885	2,571	104,405
Proceeds from the sale of property, plant and equipment	86,158	27,279	83,763	27,279
Interest received	1,663,370	925,490	-	-
Dividend received	18,550	190,833	12,751	130,082
Net additions to biological assets	(17,791)	(59,222)	-	-
Net cash flow from investing activities	**(19,439,241)**	**(2,026,455)**	**(1,520,070)**	**56,427**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	(11,740,901)	5,536,942	(6,915,368)	7,011,677
Principal repayment under finance lease liabilities	(186,866)	(136,013)	(14,588)	(31,190)
Proceeds from long-term interest bearing loans and borrowings	37,166,000	3,397,114	-	-
Repayments of long-term interest bearing loans and borrowings	(13,922,726)	(2,944,965)	(441,441)	(75,902)
Dividends paid to non-controlling interests	(82,693)	(109,551)	-	-
NCI contribution to subsidiary share issues	148	44,678	-	-
Net cash generated from financing activities	**11,232,962**	**5,788,205**	**(7,371,397)**	**6,904,585**
Net increase/(decrease) in cash and cash equivalents during the period	2,160,560	1,198,689	(1,197,209)	1,240,552
Cash and cash equivalents at the beginning of the year	46,849,907	4,423,484	(1,231,284)	(3,291,182)
Cash and cash equivalents at the end of the year	**49,010,467**	**5,622,173**	**(2,428,493)**	**(2,050,630)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	58,604,185	13,415,030	776,418	194,852
Unfavorable Bank Balances used for cash management purposes	(9,593,718)	(7,792,857)	(3,204,911)	(2,245,482)
	49,010,467	**5,622,173**	**(2,428,493)**	**(2,050,630)**

1 The Statement of Financial Position as at 30 June 2017, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the three month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, associates and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2016/17 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2017.

8 **Acquisition of PakOman Microfinance Bank Ltd**

On 27th June, 2017, LOLC (Pvt) Ltd has acquired 50.1 per cent equity stake with controlling interest in PakOman Microfinance Bank Ltd (POMB) by way of a primary issuance of shares by POMB for the value of USD 11.6Mn.

POMB is a Pakistan-based microfinance company promoted by the Oman government (with a 67 per cent shareholding) and Pak Oman Investment Co, a joint venture between the governments of Pakistan and the sultanate of Oman (with a 33 per cent holding). Licensed by the State Bank of Pakistan, POMB offers a range of micro credit and micro savings products and services to the under privileged segments of society in Pakistan.

The provisional fair values of the identifiable assets and liabilities of the acquiree as at the date of acquisition were;

	Rs'000
Assets	
Cash and cash equivalents	2,469,416
Investment securities	333,513
Advances and other loans	679,448
Trade and other receivables	79,478
Deferred tax asset	39,544
Property, plant and equipment	39,385
	3,640,784
Liabilities	
Deposit liabilities	216,522
Current tax payable	6,613
Trade and other payables	77,972
Retirement benefit obligations	3,383
	304,490
Fair value of Identifiable net assets acquired	**3,336,294**

Results of the acquisitions of above subsidiaries are as follows;

Fair value of consideration paid (net of transaction cost)	1,777,741
Non-controlling interests acquired	1,659,336
	3,437,077
Fair value of Identifiable net assets acquired	3,336,294
Resulting goodwill	**100,783**

9 Comparative information Re-classification

The presentation and classification of the following items in these Financial Statements are amended to ensure the comparability with the current period.

	Company		
	As Previously Reported	**Re-classification**	**Current Period**
	2016 Rs. '000	**Rs. '000**	**2017 Rs. '000**
Income			
Other operational income/ shared service income	9,244	-	9,244
Personnel Expenses			
Salaries, wages and other benefits	122,156	-	122,156
Other operating Expenses	27,844	-	27,844

10 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

11 Market prices of ordinary shares recorded during the quarter ended 30th June 2017 are as follows;

	Rs.
Closing price	112.80
Highest Price	114.00
Lowest Price	60.50

12 Information on Company's listed debentures

12.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 13 June 2017

	Buying	Selling
4 Year Bond		
Price	97.58	97.69
Yield	10.73%	10.64%
5 Year Bond		
Price	97.96	98.20
Yield	11.06%	10.93%

12.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price	97.53	97.85
Yield	10.58%	10.95%

	Current Period
Yield to maturity of trade done on (30/06/17)	11.38

Debt to equity	1.05	times
Interest cover	1.17	times
Quick asset ratio	2.31	times

12.3 The market prices during the half year (ex interest)	**Current Period**
Highest price	12.89
Lowest price	8.93
Last traded price	11.38

13 Backed to backed deposits details	As at 30 June 2017
	Rs. '000
Back to back deposits on foreign funding	17,905,997
Interest income earned on back to back deposits	160,731

14 Group Portfolio information	As at 30 June 2017
	Rs. '000
Gross portfolio	447,328,410
Non-performing portfolio > 6 months	8,887,050
Allowance for non-performing portfolio	10,334,929

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 30 June 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	1,302,779	-	-	**1,302,779**	**1,302,779**	Level 1 and Level 2
Investment securities	-	-	9,558,149	68,452,104	**78,010,253**	**78,010,253**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating	-	-	-	52,369,220	**52,369,220**	**51,824,580**	Level 3
Advances and other loans	-	-	-	384,624,261	**384,624,261**	**382,135,742**	Level 3
Total financial assets	**-**	**1,302,779**	**9,558,149**	**505,445,585**	**516,306,513**	**513,273,354**	
Trading liabilities - fair value through profit or loss	219,589	-	-	-	**219,589**	**219,589**	Level 1
Deposits liabilities	-	-	-	235,981,397	**235,981,397**	**237,397,285**	Level 3
Interest bearing borrowings	-	-	-	299,747,613	**299,747,613**	**301,546,099**	Level 3
Total financial liabilities	**219,589**	**-**	**-**	**535,729,010**	**535,948,599**	**539,162,973**	

As at 31st March 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,649,561	-	-	**3,649,561**	**3,649,561**	Level 1 and Level 2
Investment securities	-	-	9,449,096	45,930,225	**55,379,321**	**55,379,321**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating	-	-	-	51,886,989	**51,886,989**	**51,347,364**	Level 3
Advances and other loans	-	-	-	366,809,378	**366,809,378**	**366,572,052**	Level 3
Total financial assets	**-**	**3,649,561**	**9,449,096**	**464,626,592**	**477,725,249**	**476,948,299**	
Trading liabilities - fair value through profit or loss	65,287	-	-	-	**65,287**	**65,287**	Level 1
Deposits liabilities	-	-	-	211,128,007	**211,128,007**	**212,394,775**	Level 3
Interest bearing borrowings	-	-	-	286,749,284	**286,749,284**	**288,469,780**	Level 3
Total financial liabilities	**65,287**	**-**	**-**	**497,877,291**	**497,942,578**	**500,929,842**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC
Operating Segments

For the three month period ended 30 June 2017	Financial services	Life & general insurance	Manufacturing & trading	Leisure & entertainment	Plantation & renewable energy	Equity accounted investees	Others & eliminations	Total
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Gross income	29,515,357	1,524,928	3,843,737	523,136	943,846	-	(2,580,151)	**33,770,853**
Finance costs	(13,551,318)	-	(331,419)	(358,687)	(141,139)	-	720,552	**(13,662,011)**
Cost of sales	-	-	(2,578,531)	(209,181)	(172,852)	-	6,219	**(2,954,345)**
Profit before operating expenses	**15,964,039**	**1,524,928**	**933,787**	**(44,732)**	**629,855**	**-**	**(1,853,380)**	**17,154,497**
Operating expenses	(10,297,929)	(1,507,264)	(923,451)	(324,209)	(539,068)	-	2,348,890	**(11,243,031)**
Results from operating activities	**5,666,110**	**17,664**	**10,336**	**(368,941)**	**90,787**	**-**	**495,510**	**5,911,466**
Share of profits of equity accounted investees	-	-	-	-	-	577,292	-	**577,292**
Profit before taxation	**5,666,110**	**17,664**	**10,336**	**(368,941)**	**90,787**	**577,292**	**495,510**	**6,488,758**
For the three month period ended 30 June 2016								
Gross income	15,626,907	1,239,467	3,535,966	428,155	1,485,702	-	(2,873,525)	19,442,672
Finance costs	(7,455,261)	-	(262,870)	(156,898)	(113,659)	-	1,305,977	(6,682,711)
Cost of sales	-	-	(2,534,167)	(229,545)	(389,911)	-	4,809	(3,148,814)
Profit before operating expenses	**8,171,646**	**1,239,467**	**738,929**	**41,712**	**982,132**	**-**	**(1,562,739)**	**9,611,147**
Operating expenses	(5,351,029)	(1,221,357)	(869,374)	(304,999)	(996,245)	-	1,254,168	(7,488,836)
Results from operating activities	**2,820,617**	**18,110**	**(130,445)**	**(263,287)**	**(14,113)**	**-**	**(308,571)**	**2,122,311**
Share of profits of equity accounted investees	-	-	-	-	-	1,046,664	-	1,046,664
Profit before taxation	**2,820,617**	**18,110**	**(130,445)**	**(263,287)**	**(14,113)**	**1,046,664**	**(308,571)**	**3,168,975**

For the three month period ended 30 June 2017	Financial services	Life & general insurance	Manufacturing & trading	Leisure & entertainment	Plantation & renewable energy	Equity accounted investees	Others & eliminations	Total
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Net impairment (loss) / reversal on financial assets	1,422,412	-	-	-	-	-	-	**1,422,412**
Depreciation and amortization	320,102	10,941	68,402	64,799	62,716	-	1,497	**528,457**
Total assets (as at 30 June 2017)	662,537,026	9,677,297	44,321,724	37,451,337	9,496,331	-	(73,203,307)	**690,280,408**
Total liabilities (as at 30 June 2017)	559,679,680	6,506,232	23,002,414	15,549,207	6,199,211	-	(27,791,597)	**583,145,147**
For the three month period ended 30 June 2016								
Net impairment (loss) / reversal on financial assets	674,860	-	-	-	-	-	-	**674,860**
Depreciation and amortization	175,573	11,127	67,978	68,097	79,835	-	82,899	**405,674**
Total assets (as at 30 June 2016)	371,241,704	7,607,063	27,593,672	29,149,621	19,564,584	-	(60,566,372)	**394,590,272**
Total liabilities (as at 30 June 2016)	320,299,065	5,215,640	12,316,679	8,840,089	8,429,777	-	(29,214,239)	**325,887,011**

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Company as at 30th June 2017

Directors Name	No of shares	%
Mr. I C Nanayakkara *Deputy Chairman*	59,895,500	12.604
Mr. W D K Jayawardena *Managing Director / Group CEO*	-	-
Deshamanya M D D Pieris	-	-
Mr. R A Fernando	12,600	0.003
Mrs. K U Amarasinghe	23,760,000	5.000
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno (Alternate Director to Mr H Nishio)	-	-
Mr. Takehisa Kaneda (Resigned W.E.F. 17.04.2017) *Alternate Director to Mr. H Yamaguchi*	-	-
Mr. Kyokazu Ishinabe (Appointed W.E.F. 17.04.2017) *Alternate Director to Mr. H Yamaguchi*	-	-

The shareholding of Mr. R M Nanayakkara (deceased) was considered as "Non Public" in the previous quarter, in his capacity as a Director. However, since the 36.299% shares held by him are being processed to be transferred to Mr. I C Nanayakkara pursuant to a nomination given to the Company by the late R M Nanayakkara, the shareholding of the late Mr. R M Nanayakkara has been included in the "Non Public" category as the beneficiary of the shares. Mr. I C Nanayakkara is a Director.

Lanka Orix Leasing Company PLC
Top 20 shareholders as at 30th June 2017

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara (Deceased)	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	Renaissance Capital (Pvt) Limited	8,671,625	1.825
8	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-A	6,937,775	1.460
9	Mrs. I Nanayakkara	2,827,948	0.595
10	Employees Trust Fund Board	2,740,493	0.577
11	HSBC - Mr. R C De Silva	1,614,000	0.340
12	Mr. G G Ponnambalam	1,044,960	0.220
13	Dr M Ponnambalam	1,044,960	0.220
14	Swastika Mills Ltd	1,002,000	0.211
15	Mrs. S N Fernando	818,440	0.172
16	National Savings Bank	606,900	0.128
17	Confifi Management Services (Pvt) Ltd	600,000	0.126
18	HSBC - Matthews Emerging Asia Fund	573,466	0.121
19	Mr. G C Goonetillake	525,000	0.110
20	Mr. R Maheswaran	500,000	0.105
21	Ms. A Radhakrishnan	500,000	0.105
22	Ms. M P Radhakrishnan	500,000	0.105
		456,519,091	**96.069**

The Public Shareholding as at 30th June 2017 was 16.09% comprising of 2,988 shareholders.